Article | 1 June 2026

COMMODITIES, FOOD & AGRI

Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively

Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. A major part of global fertiliser and fertiliser feedstock remains exposed. While an extension of the ceasefire could see a resumption in flows, the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of 'the beginning of a systemic agrifood shock that could trigger a severe global food price crisis'. The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

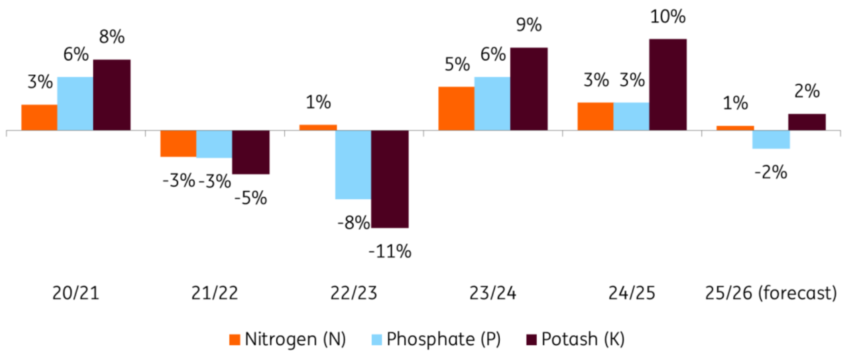
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use

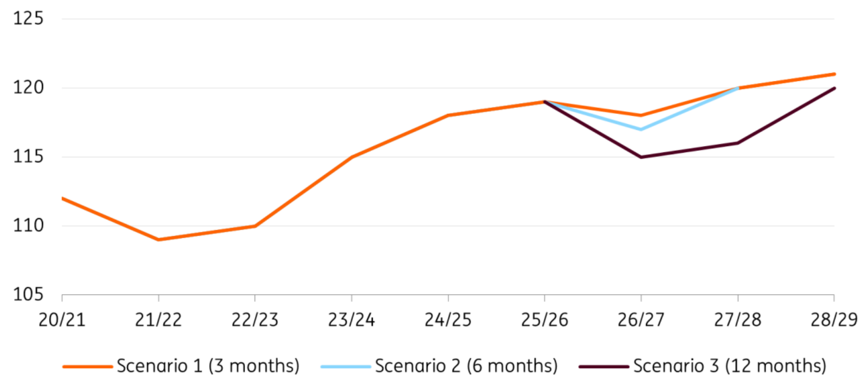


Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its Fertiliser Action Plan, which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute (IFPRI). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely $4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

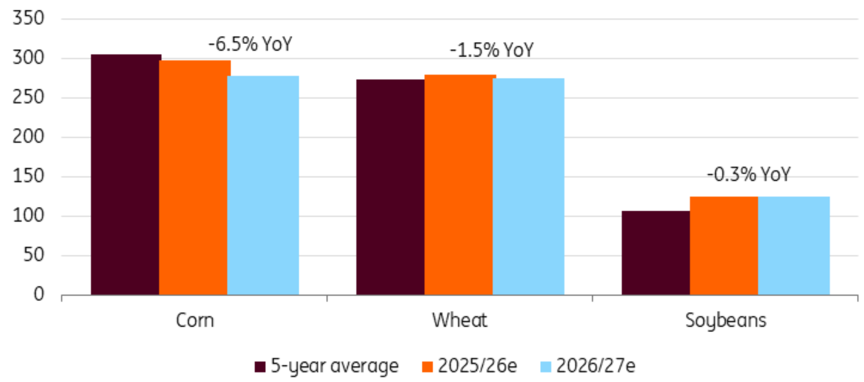
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

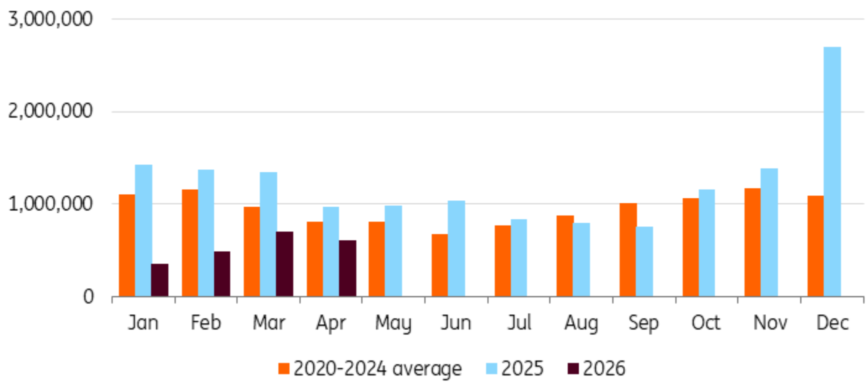
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration is forecasting an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers – several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.
2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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Article | 29 May 2026 FX

USD/JPY: Largest quarterly intervention since 2004

The Japanese Ministry of Finance has today released FX intervention figures for the period of 28 April to 27 May. It confirms that the Bank of Japan sold JPY11.735tr (around $74bn). This will mark the largest quarterly FX intervention since 2004. It s an impressive figure, but unless oil or US rates turn dramatically lower, USD/JPY will stay bid

Sizable intervention

Figures released by Japan's MoF earlier today confirm that the BoJ undertook JPY11.735tr of FX intervention in the 28 April to 27 May window. That intervention likely started on 30 April, driving USD/JPY from above 160 to below 156 and was followed up potentially over the next four trading sessions.

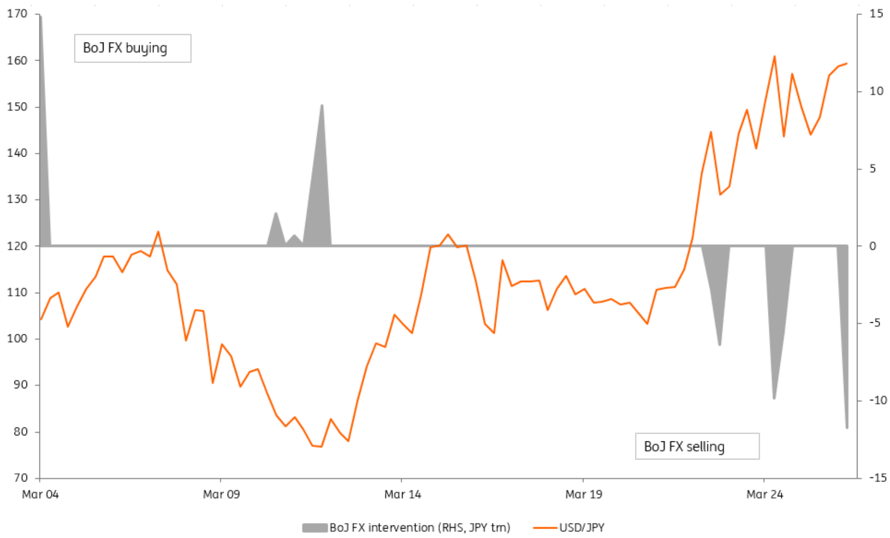
The size confirmed today is large. In fact, looking at the quarterly intervention figures, one has to go back to 2004 to see any activity as large in a single quarter.

Back in early 2004, the BoJ was intervening almost daily in an effort to keep USD/JPY above 100 at a time of a prevailing dollar bear trend – this after the Federal Reserve had cut its policy rate to 1.00% after the dot-com bubble burst.

Since then, FX intervention has been more modest and less frequent.

In fact, there is some speculation that Japanese policymakers feel constrained by the IMF's FX regime classification system. More frequent intervention – beyond three 'instances' in a six-month period – could see Japan''s FX regime re-classified as 'floating' instead of 'free floating' – which would be more in line with regimes in Brazil and Chile than Japan's G7 peers.

BoJ FX intervention versus USD/JPY



Source: Japanese Ministry of Finance, ING

Policymakers will struggle to turn the tide

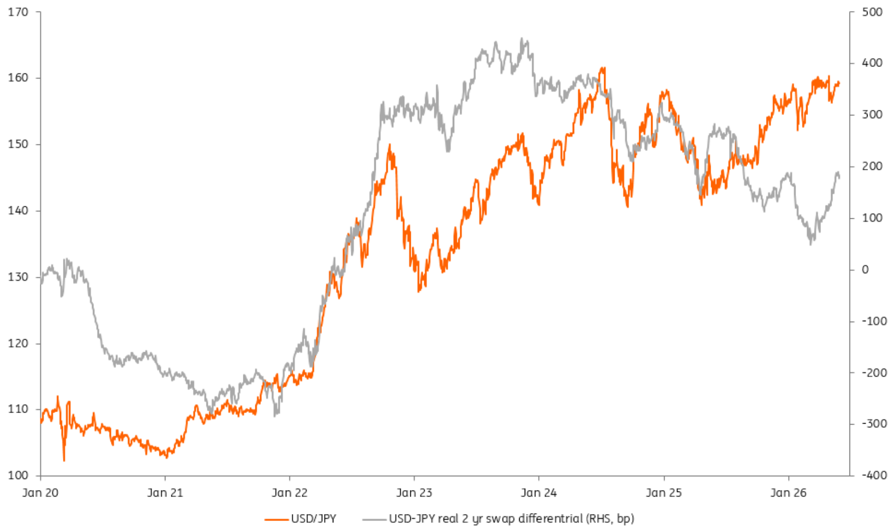
With USD/JPY already trading back near 160, it is hard to make the case that this year's Japanese FX intervention has been effective. Back in 2024, FX intervention was a success because the speculative market was heavily short yen and US rates were turning lower ahead of a Fed easing cycle starting that September.

Today, the speculative market is far less short yen and if anything, the Fed could be swinging behind a hike for its next move rather than a cut. Our call is that the BoJ will likely be called into action again over coming months as USD/JPY pushes through 160 again. This also has implications for US Treasuries, as Japanese authorities appear to sell Treasuries to finance FX intervention. Japanese holdings of US Treasuries fell around $100bn in 2024 – roughly consistent with FX intervention amounts that year. Remember as well that FX selling operations are finite and limited by the size of FX reserves. Japan has large reserves at over USD1tr, but will not want to lose 20-30% of them.

Unless the BoJ can somehow get 'ahead of the curve' and drive real interest rates higher, it is hard to see the USD/JPY situation changing over coming months. ING is looking for a BoJ rate hike on 16 June (now priced with a 78% probability), but the BoJ will have to deliver a very hawkish hike to reverse the recent shift in real interest rate differentials against the yen. That would somehow require the BoJ to manage expectations of a policy rate (now 0.75%) heading above 1.50% next year – which might be difficult in the current political environment.

Until then, we expect USD/JPY to stay bid near 160 over coming months and possibly push into the 162/163 area. Our call for 155 by year-end very much relies on US consumption stalling and the Fed reconsidering rate cuts. That is increasingly looking like a story for later in the year and the near term focus will be on the growing Fed hawkishness.

Real interest rates keep USD/JPY supported



Source: ING calculations

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Article | 27 May 2026

ECB set for June 'insurance' hike as energy shock raises policy risks

A June rate hike looks close to a done deal, but the ECB s path beyond that is far from straightforward. An energy crisis of uncertain duration, broadening inflation and adverse growth effects all make for tough policymaking. That raises the risk of a policy mistake, and we re expecting the central bank to tread carefully

We currently see a singular rate hike in June being used to demonstrate the ECB's willingness and determination to keep inflation expectations anchored

In two weeks, the European Central Bank will meet again, and a rate hike is starting to look close to a done deal. Back at the last meeting, ECB President Christine Lagarde added a touch of conditionality, stressing that higher energy prices showed some indirect effects but definitely no second-round effects yet.

The June meeting is expected to focus heavily on how higher energy prices and the war in the Middle East could affect – or are already affecting – inflation and inflation expectations. While ECB staff is busy tying up the last loose ends on a new set of forecasts for the June meeting, we've already had a peek at Lagarde's briefing note. Here it is.

Inflation remains a narrow shock so far, but will broaden soon

The eurozone inflation rate came in lower than expected in April, and the composition of the figures remained benign. The jump from 1.9% in February to 3% in April was mainly due to higher energy prices, with other components remaining benign.

Also, using alternative measures the ECB likes to look at to examine inflation from all possible angles, no warning signs of broadening inflation have yet been raised. 'Supercore' – a basket consisting just of the components of inflation most sensitive to economic activity – remains stable at a level around 2.5%; the trimmed mean, which excludes the components with the largest moves up and down, has increased but remains at historically modest levels. At the same time, however, looking at the main components of eurozone inflation in March and April, half already had an inflation rate of more than 2%.

Even if this week's May inflation data shows the first tentative signs of a broadening of inflationary pressures, which is likely, it will be so tentative that there is no need for a panic reaction.

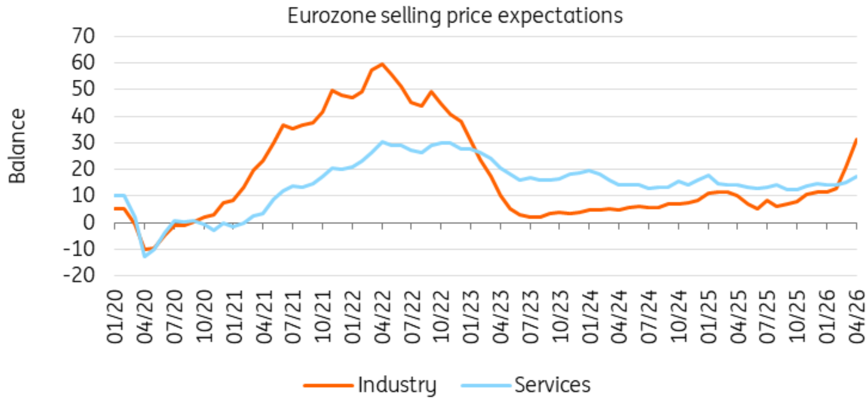
Indirect effects of the energy shock are set to become visible soon

Still, as crucial as actual inflation data has become for monetary policy, particularly in times of high uncertainty, it's a bit like steering your car by only looking in the rearview mirror – risky.

Looking further ahead, the latest producer price data suggests that input costs are on the rise, with certain critical inputs for the production process facing possible shortages. The number of industrial companies expecting to increase selling prices in the months ahead has risen sharply in recent months. In fact, a first inflation wave is already in full swing – one that remains mainly limited to energy prices, but is gradually broadening. It won't be long before higher energy prices lead to knock-on effects on transportation and food costs.

Needless to say, the longer the war in the Middle East and the blockade of the Strait of Hormuz persist, the higher the likelihood that the initial energy price shock will not only have knock-on effects but could also be accompanied by additional supply chain frictions and, in turn, a self-enhancing inflationary spiral.

Selling price expectations have surged since the Middle East war started

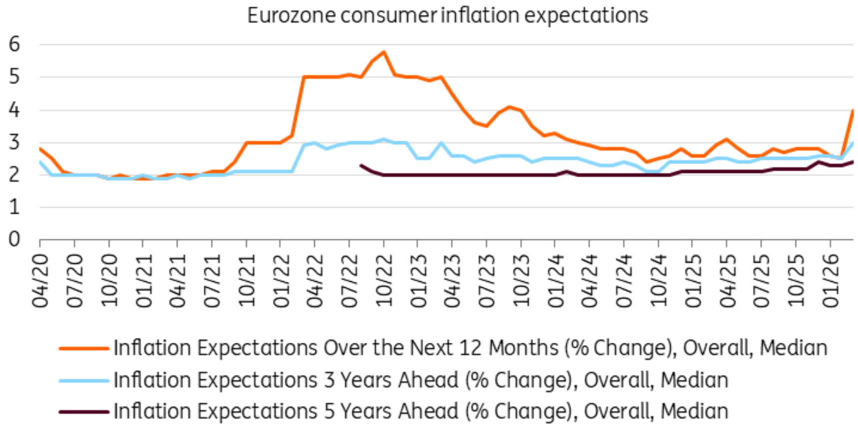


Source: European Commission DGECFIN

Some indirect effects are gradually unfolding, but the question is whether they will also lead to higher inflation expectations. Inflation expectation measures have already started to crawl up. The ECB's own consumer survey showed one-year-ahead inflation moving to 4% in April, from 2.5% in March, while five-year-ahead inflation only saw a marginal increase (to 2.4% from 2.3%).

To see a more fundamental shift in longer-term consumer inflation expectations, businesses need to be able to pass higher costs onto the consumer. The May PMI indicated a much smaller increase in selling prices than in input costs, which suggests that the current lukewarm economic environment may make it harder to pass on price increases to consumers. This would suggest more of a squeeze in margins for eurozone businesses, differing across sectors and countries.

Consumers see medium-term inflation expectations increasing quickly



Source: European Commission DGECFIN

And how about the economy? Is it performing strongly enough to expect a broader uptick in inflation? The output gap – the difference between actual and potential output – provides some insight into whether the economy is overheated or underperforming. While this measure has been a subject of debate (and frequently revised) over time, the current reading suggests that the economy is not overheating nor underperforming at the moment. This is also supported by the number of companies indicating that they are experiencing demand or supply problems as their largest limit to production. This is roughly balanced according to the European Commission's surveys. In short, the economy is roughly ticking along at potential.

But the latest data has not been very positive. The May PMI weakened with output softening, businesses shunning hiring and new orders dropping. While we have seen this before without a recession emerging, we do take this as a signal of weakening conditions for the business economy.

Fiscal policy matters

Back in April, President Lagarde already talked about the crucial role fiscal policy plays in both tackling the energy shock and shaping the inflation outlook. In 2022, eurozone governments introduced some 500 individual measures to tackle the energy price shock. Think of price caps, subsidies, tax cuts or all of the above. At the current juncture, fiscal support has so far been modest. In 2022, fiscal support amounted to more than 3% of GDP in the eurozone; we are currently at hardly 0.2% of GDP. Unless this changes, the likelihood of a 2022 rerun, as well as the chances of an unstoppable inflation spiral, remain low.

All in all, the available data so far points to a mild stagflationary impact of the war in the Middle East on the eurozone economy. The duration of the war and oil prices have clearly moved away from the ECB's March baseline scenario. At the same time, however, the duration of the war is subject to high uncertainty, both towards the positive and the negative. Interestingly, despite a much longer-lasting war, oil prices have remained below what many had feared in a more adverse scenario. For the ECB meeting, the slight increase in inflation should not trigger any panic but high alertness. In the past, the ECB would have called it 'vigilance'.

A hike in two weeks but more hikes not necessarily needed

With this vigilance, the main question for the ECB will be whether to go for a preemptive insurance hike or stay put. Market expectations have already tightened the monetary policy stance in recent weeks. Real long-term interest rates, for example, are at levels last seen in the period between 2013 and 2016. It is these market expectations that are likely to shift the needle towards a rate hike. We have been there before – an ECB stressing that not delivering on market expectations would actually ease the monetary policy stance.

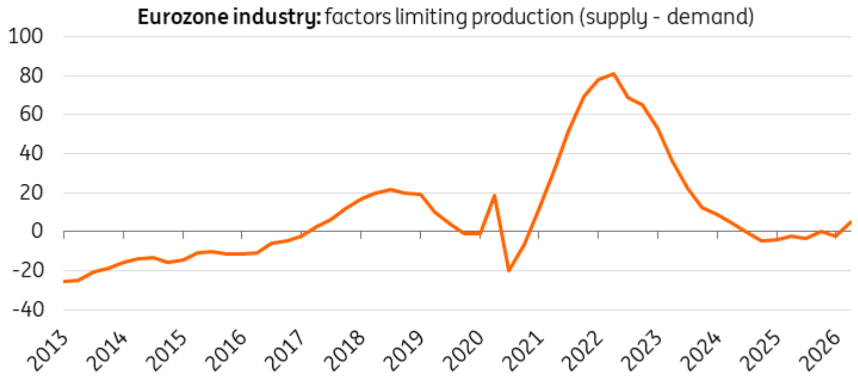
A tighter monetary policy stance and creeping inflationary pressure are why we think that a rate hike is almost a done deal. Isabel Schnabel's comments earlier this week confirmed the direction of travel. In fact, it would probably require another sharp deterioration in economic sentiment for the ECB not to hike. Even if the war in the Middle East were to end tomorrow, the damage to inflation has already been done. Inflation has started – and will continue – to hit the eurozone economy. The only question is whether it will fall in the category of 'transitory' or whether supply chain disruptions could create more knock-on effects than 'only' on transportation and food prices. Given the 2022 experience, the ECB is likely to opt for an 'insurance' rate hike. Not that a rate hike will do a lot to affect inflation expectations, but it would be a symbolic move, stressing the ECB's determination to act.

What's even more interesting is what will happen beyond the June meeting. Markets have started to price in a total of three rate hikes. However, as long as fiscal stimulus remains muted, the risk of an outright inflationary spiral remains small, making an aggressive monetary policy reaction to the current energy price shock unlikely. In fact, even if it's still in the ECB's institutional memory, the comparison with 2022 doesn't quite hold: back then, the eurozone economy entered a post-lockdown boom, there was substantial fiscal stimulus, higher inflation rates and a much looser monetary policy stance.

For us, the better reference period for the ECB remains the 2011 experience. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than they are currently – to tackle rising inflationary pressure, only to discover that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

For now, we only see one insurance rate hike in June being used to demonstrate the ECB's willingness and determination to keep inflation expectations anchored. As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

Companies don't indicate signs of overheating



Source: European Commission DGECFIN, ING Research

European Commission. Weighted share of companies indicating the factor limiting production. Supply is a combination of labour, equipment and other factors.

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Article | 27 May 2026 TMT AI

AI monthly: Many still unconvinced of GenAI's relevance

In the latest EU survey, almost two out of three internet users report not using GenAI for work or for personal use, mostly because they see 'no need'. However, those who do use it more, the young and the more educated, are also most concerned about losing their jobs to it

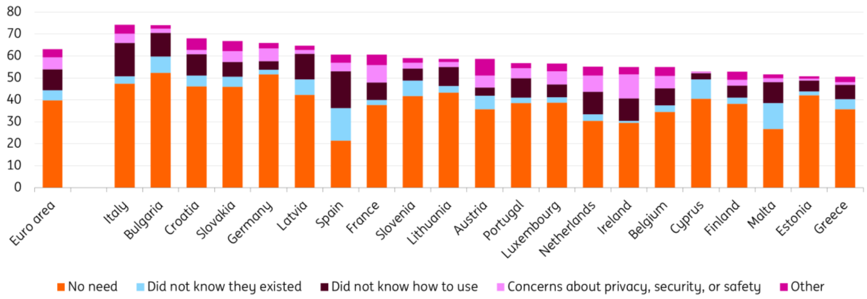
A large proportion of individuals still find no need for this technology

In the eurozone, almost two-thirds of respondents in a 2025 EU survey report not using any GenAI tools (e.g., ChatGPT, Copilot, Dall-E) to create text, pictures or codes, despite using the internet over the past three months. More importantly, "no need" stands out as their top reason, while other concerns such as not knowing how to use it, being unaware of its existence, or broader security reasons remain limited. There are also some differences within eurozone countries. For instance, non-usage is highest in Italy, while Spain tops the list for users who were unaware of GenAI's existence, and didn't know how to use it. Still, "no need" dominates responses across all countries.

Taken together, the high share of non-users, many of whom see 'no need', suggests that the gains from GenAI may be concentrated among a minority with the right complementarities, such as relevant knowledge, skills, and clear use cases in work or personal life. This also implies that simply pushing for broader adoption may not be enough, as non-users may need greater awareness of practical applications, many of which may not yet be well understood or fully developed.

'No need' is the top reason for not using AI in all countries

Percentage of individuals not using GenAI and their top reasons, eurozone countries



Eurostat, 2025

The younger and more educated lead in usage, but also in job anxiety

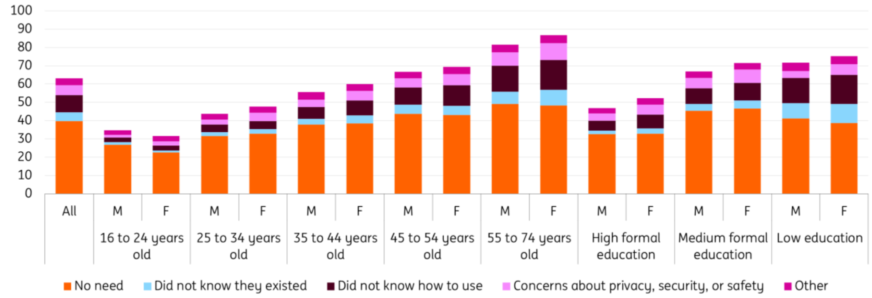
In the eurozone, non-usage increases sharply with age; from around 40% in respondents between the age of 16-34, to over 75% for those between the age of 45-74. Non-usage rises from around 50% among highly educated respondents to 80% among those with lower levels of education. Younger and more educated individuals are therefore more likely to find the technology relevant and to benefit from its use. Women also tend to report slightly higher levels of non-usage within the same age and education groups, although the difference remains small.

At the same time, reports such as this recent one from Anthropic highlight that younger, early-career workers are also the ones who are most concerned about losing their jobs to AI. Moreover, occupations requiring higher levels of education tend to be more exposed to AI through automation or augmentation, and greater AI job exposure is also linked with increased worries about job displacement. This creates a high usage – high anxiety paradox, where greater familiarity with the technology appears to increase, rather than alleviate, fears.

Employees that use GenAI may see personal benefits today but worry that wider adoption might cost them tomorrow. This makes it tricky to push people to use GenAI to increase productivity without providing sufficient safeguards, as this perceived threat from wider adoption may lead to intentional underutilisation of the technology.

AI non-usage increases with age and decreases with higher levels of education

Percentage of individuals not using GenAI and their top reasons, by male and female, eurozone



Eurostat, 2025

The broader economic payoff may take longer to materialise

Businesses and policymakers are encouraging wider GenAI adoption to reap broader economic benefits. An important step in that direction would be convincing people of the value added and generating broader use cases, as the main constraint is that of relevance, rather than know-how or fears of security.

Even then, the prominent usage differences between countries, age groups, and education levels suggest that gains may accrue to certain demographics, like the young and more educated, before these are diffused into the broader economy. But these groups that stand to gain are also faced with greater anxiety about job losses. This makes it just as important to ensure that widespread fear does not stand in the way of adoption as it is to ensure that adoption does not widen economic inequality. After all, not everyone is starting the AI race from the same position.

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Article | 2 June 2026 FX

FX Daily: Markets reluctant to price in more JPY interventions

Implied volatility remains low in USD/JPY – like the rest of the G10. That is despite USD/JPY approaching the key 160.0 mark again at the start of a seasonally strong month. The bar may be higher than in April, but markets may be underpricing new intervention risk. Market drivers today include US JOLTS and eurozone CPI data, alongside a focus on Gulf headlines

USD/JPY is retesting 160.0

USD: Volatility remains exceptionally low

FX volatility has continued to plummet, with the widely watched CVIX index falling below 6.0 for the first time since March 2024. The FX market looks just as reluctant to price in a re-escalation in the Middle East this morning as it was to price in an imminent peace deal in recent days. Brent's rapid return below $95 in the Asian session suggests broader sentiment is improving again, despite headlines that US-Iran negotiations have collapsed once more.

The 99.0-99.50 range in DXY remains the 'comfort zone' for now. That embeds lower oil prices but also reflects the broadly stronger macro backing for the dollar. In our view, the latter factor could be reinforced by this week's US data calendar.

After a strong manufacturing ISM yesterday, focus turns to the April JOLTS jobs report. Layoffs will be closely watched following the March pickup, but consensus looks for stabilisation and no change in job openings. The net impact on the dollar should be neutral in that case, leaving Middle East headlines as the sole driver.

Francesco Pesole

EUR: Eurozone core CPI starts creeping up

Eurozone flash inflation is set to rise from 3.0% to 3.2% in May. Core inflation is also expected to tick up, from 2.2% to 2.4% – unwelcome for the ECB, though not enough to raise immediate alarm. It should, however, support a hawkish tone alongside a highly likely rate hike at next week's meeting (preview here).

The somewhat surprising decline to 2.9% in 3-year CPI expectations in April is probably a testament to the importance of the ECB keeping tightening expectations elevated to prevent any de-anchoring.

EUR/USD went through the usual Gulf-driven swings yesterday, but like the rest of the G10, it's showing much more muted volatility. Once – if – a peace deal is ultimately signed, the euro can attempt a return to 1.180, but don't expect the pair to price much optimism only based on constructive headlines.

Francesco Pesole

JPY: Risk of new interventions a bit underpriced

USD/JPY short-term implied volatility (1 week to 3 months) has followed the broader drop in G10 volatility, failing to show the risk of renewed FX intervention as the pair nears 160.0. Markets may be assuming the BoJ will wait to see whether a 16 June hike (19bp priced) can cap USD/JPY.

After the largest intervention since 2004 in April-May, there is also a growing sense that such a pace cannot be sustained. It may also reflect market expectations of restraint given the IMF's guideline of a maximum of three intervention episodes within any rolling six-month window to preserve "free-floating" status.

Still, the risk of new intervention does look a bit underpriced, considering Japanese authorities have remained rather hawkish with their intervention narrative. The new bar may be set well above the 160.60 level where they intervened in April, perhaps 162-163.

We think markets will keep testing the topside in USD/JPY, also considering June is a seasonally weak month for the yen.

Francesco Pesole

PLN: NBP can wait a bit longer

The National Bank of Poland is widely expected to keep rates unchanged at 3.75% today. Only four weeks have passed since the last meeting, with little new information since then. In addition, Friday's softer-than-expected inflation print at 3.1% argues for patience, while the next forecast round will not be available until July. In our view, today's meeting is mainly a check-in on current conditions, with any potential policy decision likely deferred. With inflation still inside the tolerance band, our baseline remains unchanged for longer.

More attention will be on Governor Adam Glapinski's press conference tomorrow, which may offer clearer guidance on the central bank's sensitivity to renewed inflation pressures. While the link between oil prices and PLN rates has weakened somewhat in recent days, global drivers still dominate. The market cut back hike expectations sharply after last week's global rally, with Friday's softer inflation reading reinforcing the no change. That said, yesterday's global headlines brought payers back into CEE markets, and Poland now has around 60bp of tightening priced over the next 12 months.

As we discussed yesterday, it remains unlikely that the market will fully unwind current hike pricing, and we see a floor at roughly 1.5 hikes. In FX, EUR/PLN rebounded from the lower end of its recent range yesterday but still lacks a stronger directional catalyst. A more compelling scenario would emerge if the ECB delivers a June hike while the NBP stays on hold for longer, which could increase pressure on PLN through a wider rate differential and pressure on the current account.

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Article | 2 June 2026 COMMODITIES DAILY UNITED KINGDOM

The Commodities Feed: Mixed US-Iran messages leave oil seesawing

Oil price direction continues to be dictated by Iran-related headlines amid considerable uncertainty over how negotiations between the US and Iran are progressing

Energy - Negotiation uncertainty

Oil prices received a boost yesterday as talks between the US and Iran appeared to break down -- again. This has become a common pattern in recent months, and there are still plenty of mixed messages. President Trump says that negotiations are continuing. As a result, oil prices continue to be whipsawed by quickly changing headlines.

Iran, meanwhile, issued threats against vessels transiting the Bab el‑Mandeb, the narrow Red Sea chokepoint that carries a major share of the world's energy shipments. This is a concern for oil markets, given that the Saudis have diverted a large amount of oil that should be exported from the Persian Gulf to the Red Sea. Any disruptions to southbound flows from the Red Sea would require vessels to travel north through the Suez Canal and around the Cape of Good Hope.

The Russian government has banned jet fuel exports until the end of November amid the recent surge in Ukrainian drone attacks on energy infrastructure. Russia is a marginal exporter of jet fuel, shipping only around 30k b/d. The global impact will be limited, but it's still an unwelcome twist for a market already stretched thin by disruptions in the Middle East.

A bigger concern for refined product markets would be if Russia moved to limit or ban diesel exports. There have been reports in recent days that Russia is considering limits on diesel exports.

EU gas storage has finally broken above 40% full, though it remains well below the 5-year average of 54% full. With progress in peace talks stalling, concerns will grow over prolonged disruptions to LNG supply from the Middle East. The longer this continues, the more likely Asian buyers will need to enter the spot market to cover disrupted contracted volumes. Highlighting concerns over supply, the Dutch government has approved almost a EUR1bn subsidy for EBN Capital, a state-owned energy company, to refill storage. Currently, the backwardation in the European natural gas market provides little incentive for players to refill storage ahead of the winter months. EBN has been authorised to store up to 80TWh of natural gas.

The EU plans to place just over 190 million allowances into its market stability reserve over the 12 months beginning 1 September, reflecting the surplus in the carbon market through 2025. This adjustment will be reflected in lower auction volumes.

Metals – Copper gains on tariff uncertainty

Copper prices in New York and London rose yesterday ahead of the US administration's decision on potential import tariffs. The Commerce Department previously deferred immediate duties. It proposes phased tariffs beginning at 15% in early 2027, a plan now under review with an updated recommendation expected by the end of June. Anticipation of this decision has widened the US price premium, prompting increased shipments to US ports. Tariff uncertainty is likely to support market sentiment.

Agriculture – Uganda coffee shipments decline

The latest data from the Uganda Coffee Department Authority show that Uganda's coffee shipments fell 14% year-on-year to 591.7k bags in April. The decrease in exports was largely driven by traders holding back sales as global prices weakened amid an improved supply outlook. Meanwhile, cumulative shipments for the 2025/26 season (Oct- April) reached 4.3m bags (60kg bag).

Pakistan Sugar Mills Association has urged the government to permit exports of 0.76mt of surplus sugar after maintaining a one-month strategic reserve. The group estimates total domestic inventories at 7.9mt, while consumption is expected to average around 6.6mt.

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Article | 1 June 2026 RATES SPARK

Rates Spark: Sticky circumstances

US long rates set to remain sticky to the upside, as a material downside impulse is far from straightforward. Rates volatility in euro rates is still coming down despite strong daily swings. Possible future rate paths seemed to have narrowed with oil likely stuck around elevated levels. Inflation data later this year could revive significant volatility

Rates volatility is subdued for now, but could change later as potential second-round effects find their way into inflation numbers

US 10yr Treasury yield trending in the 4.45% area

The relevance of the shuttering of the Strait for US bonds is not easy to discern from absolute levels of yields. The 10yr inflation expectation at comfortably under 2.5% is actually quite a benign reading. Even a dramatic reopening of the Strait should not cause a material collapse lower. And the 10yr real yield, at around 2%, is not particularly elevated either. It *looks* elevated relative to the paths seen in the past couple of decades, but that is a period heavily biased by GFC/pandemic induced ultra-low real rates, in tandem with Fed bond buying and the fund rate in the area of zero. Indeed, the 10yr real yield dipped deep into negative territory for extended periods. That's not the norm.

The norm is more in tune with where we currently are, consistent with a normal 2% GDP growth tendency. In fact, during the dot.com boom, the 10yr real yield was up at 4%. The rationale for maintenance of a high real yield currently centres on higher productivity driven growth ahead stemming from the ongoing tech boom. And let's throw in there the elevated fiscal deficit too; another circumstance that can correlate with elevated real yields.

Real yields can fall ahead, but for that to occur, we'd likely need to see a recessionary tendency. While some macro data point to this risk, that's typically in the "*traditional* macro economy". Absolutely important, of course, but it's the tech-driven economy that has taken on the mantle of future growth. We think that gets reflected in sticky 10yr yields at elevated levels, while the front end is likely to be more responsive to the traditional day-to-day macro numbers.

Euro rates volatility coming down for now but don't discount inflation surprises later this year

Despite the sharp moves in rates on a daily basis, implied volatilities for euro rates suggest the uncertainty going forward has already come down significantly. In effect, the range of possible future rate paths has narrowed. Scenarios whereby Brent oil either surges above $150 per barrel or falls back below $80 seem increasingly remote. One can also see this in the 10Y euro swap rate, which for the past few months has mostly oscillated between 3.0% and 3.1%, a relatively narrow range of just 10bp. And we tend to agree with these market dynamics. With oil likely to remain stuck at elevated prices, the long end of the curve could continue to trade sideways for a long time.

Rates volatility can remain subdued for now, but this is likely to change later this year once potential second-round effects find their way into inflation numbers. If eurozone core inflation remains anchored close to 2%, the European Central Bank will be in a much better position to keep policy rates stable. But any signs of inflation unanchoring could force more hikes than the current 70bp priced in. Inflation data will therefore become increasingly important, although this week’s eurozone CPI won't do much. Some country data have already been released and elicited only muted market reaction. And indeed, one month's print is also not going to change the bigger picture where fears of second-round effects take time to materialise.

Tuesday's event and market view

The eurozone will see the release of the flash CPI for May, where the core rate is expected to rise to 2.4% year-on-year while the headline is seen accelerating to 3.2% on the back of energy prices. The inflation figures will frame the public appearances of ECB speakers ahead of the blackout period starting Thursday. Slated to speak on Tuesday are the ECB’s Rehn, Vujcic and Sleijpen.

In the US the JOLTS data will be parsed for any growing weaknesses in the labour market ahead of the official jobs data on Friday. Fed speakers for the day are Kashkari and Hammack.

In primary markets, Germany will auction €5bn in 2y bonds. The UK auctions £3.25bn in 11y green gilts.

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Article | 28 May 2026

TMT SPAIN

Spanish telecom paradox: private costs, public benefits

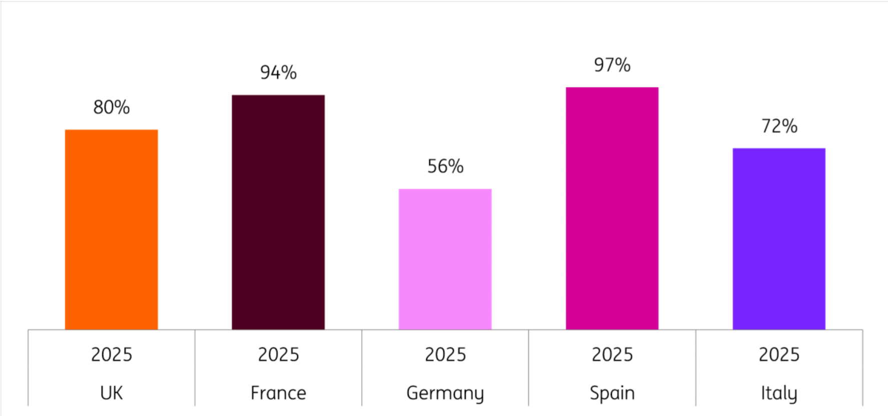
Spain leads in telecom infrastructure with extensive fibre and strong 5G. However, operators face weak margins. Sustaining investment requires improved returns. Easing regulation could boost profitability and support further network expansion

Spain is a European telecom success story. It has leading infrastructure, with a dense fibre network and strong 5G coverage. But beneath the infrastructure success lies a weaker financial reality: operator margins are relatively low while revenue growth is lagging the broader economy. As telecom operators have to compete with other companies for capital, a healthy prospective return on network investment is needed to sustain Spain's leadership. In our view, regulators should work to relax the policy framework, which would contribute to better profitability. This could propel further investment in Spanish telecom infrastructure.

Leading telecom networks in Spain

One of the first things that stands out when evaluating European telecom markets is Spain's extensive fibre network. Spain was one of the first countries to start rolling out fibre across the country, and today, the percentage of homes passed with a fibre network is 97%, as can be seen in the figure below. Interestingly, this network rollout has largely been driven by private sector investment. The larger telecom network operators have spent billions upgrading their networks. To cover less densely populated areas, the industry has been able to rely on public subsidies from the ÚNICO-Banda Ancha programme. While private investment has been the main driver of the nationwide fibre rollout, government initiatives have played a targeted role in extending coverage and shaping the overall cost and return profile of the market. The infrastructure upgrade has been well received by users, with an impressive 93% of households passed with fibre choosing to use it.

Spain has a leading European fibre coverage rate

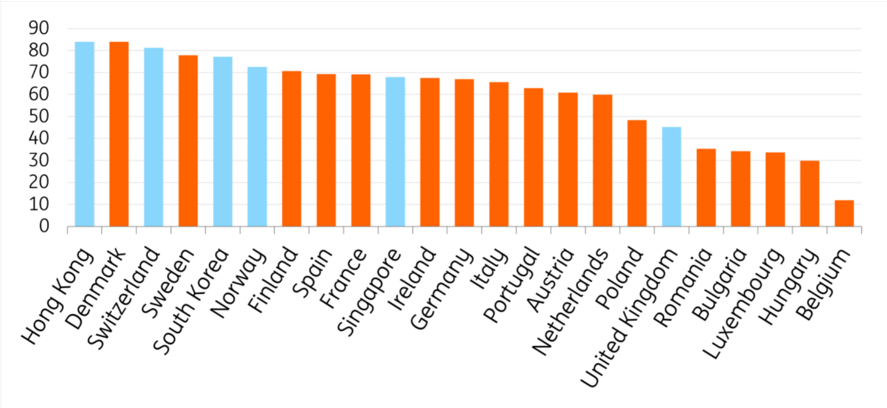


Source: FTTH Council, ING

Excellent mobile networks

But it is not only Spain's fibre networks that stand out; 5G coverage is also strong. According to Telefonica, its 5G network now reaches 95% of the population, while this figure is 90% for MasOrange. Also, the availability of 5G networks is excellent, by European standards. Research firm Ookla notes that Spanish users of a 5G handset have access to a 5G network 70.6% of the time – higher than in Italy, the Netherlands and the UK. This is a notable achievement given the geography of the Iberian Peninsula. However, availability is still not ubiquitous, with no 5G connection available in the remaining 29.4% of cases. Also note that, for example, Denmark, Switzerland and South Korea score higher on this metric. This strong infrastructure position reflects sustained investment and intense competition, which have helped to accelerate coverage but have also weighed on pricing power and returns.

5G network availability is key: Spain is leading many other European countries (%)

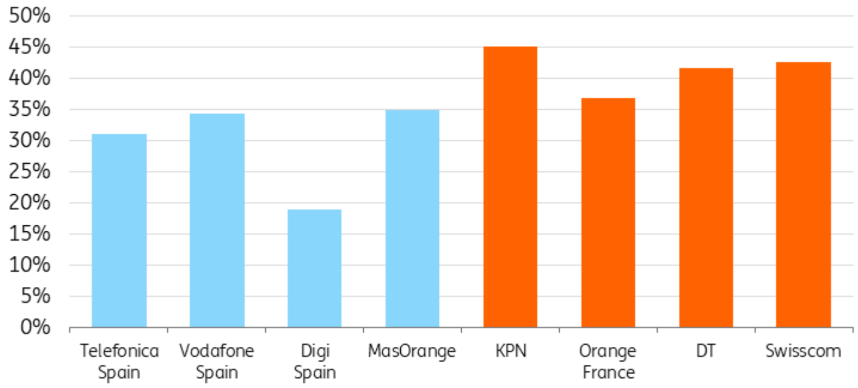


Source: Ookla, ING

How profitable have investments been?

One challenge that could hinder Spain's investment drive is that telecom operator profitability is lagging compared to leading European operators. High levels of network investment, combined with competitive pressure, appear to translate into lower margins, limiting operators' ability to fully monetise their infrastructure leadership. As can be seen in the figure below, the Spanish EBITDAaL-margins of Telefonica, Vodafone and MasOrange are around 30-35%. This is below the margins of KPN, Orange France, Deutsche Telekom in Germany and Swisscom in Switzerland. This is an important figure as operators need good profitability to further drive their investments. In our view, the operating profitability of the Spanish telecom operators deserves greater attention from regulators, as this is what drives the sustainability of future investments.

EBITDAaL-margins in Spain look relatively low

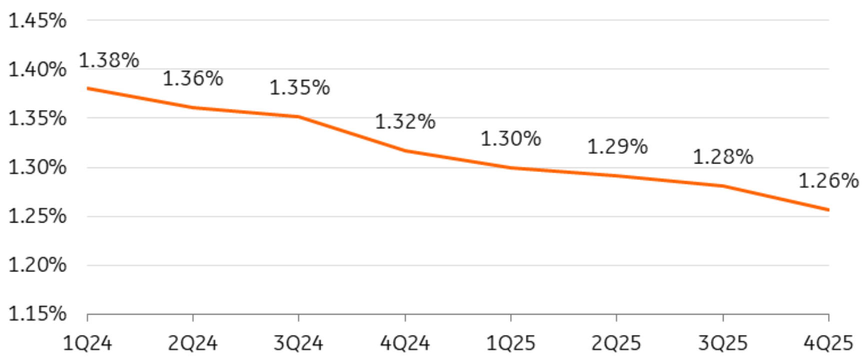


Source: Companies, ING

Data for FY25. Data for MasOrange based on 9M25 and approximated lease costs

A similar observation can also be made when looking at the revenue share of telecom operators compared to Spanish GDP. According to data from Analysys Mason, the revenue share to GDP of telecom services has declined in Spain from 1.38% to 1.26%. This shows that Spanish users get better value for money every year, but potentially not the most modern infrastructure, such as the US or China employs.

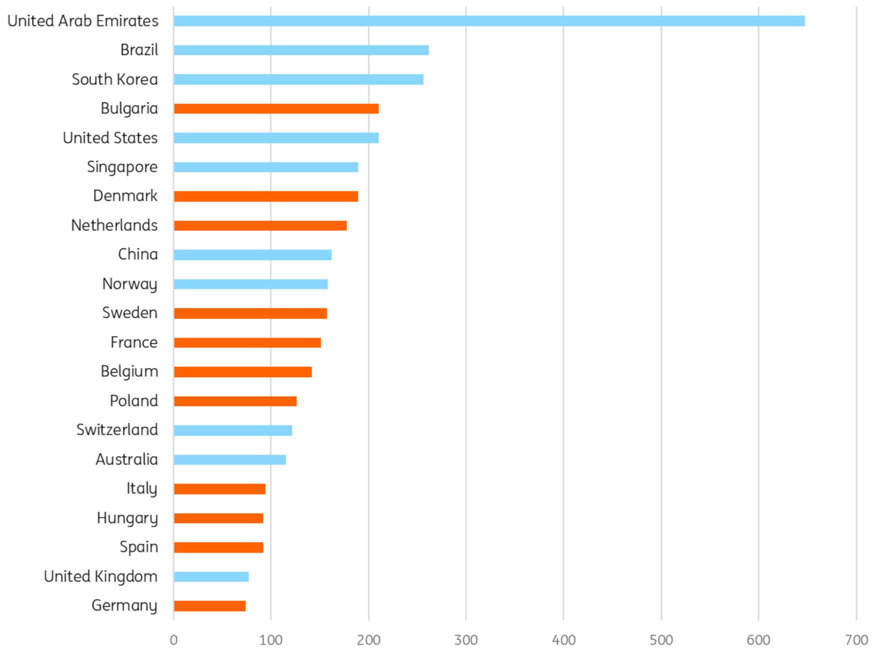
Spanish telecom revenues are not growing as a share of GDP



Source: Analysys Mason, ING

This is also evident when looking at the speeds achieved on a mobile network in Spain. The average download speed is below 100Mbit/s, which ranks below speeds achieved in the United States, Denmark, and the Netherlands.

Spain's 5G network needs further investments



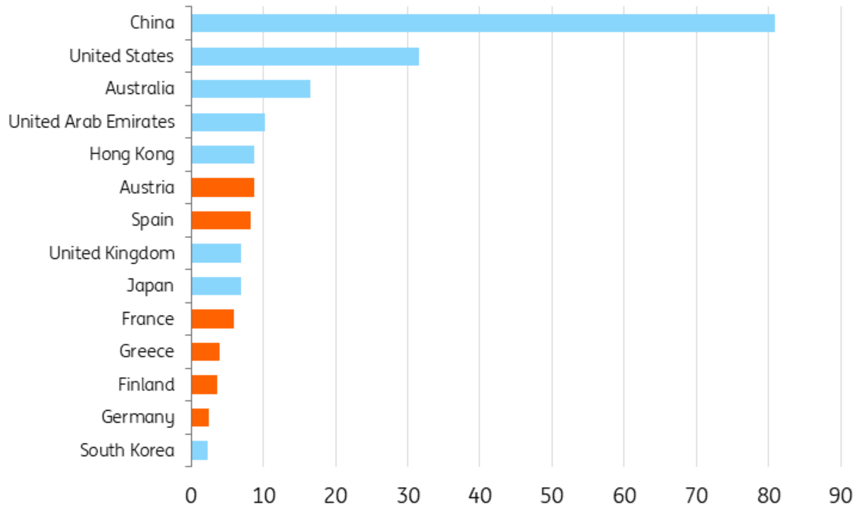
Source: Ookla, ING

Median mobile download speeds per country (Mbps)

Upgrade to 5G SA is coming, but there is work to be done

5G is therefore quickly becoming the norm in many countries. However, a 5G connection does not imply that the core network is fully upgraded to the latest 5G standards. An end-to-end 5G network, called 5G standalone, or 5G SA, operates with a fully modernised back-end infrastructure. This enables fast speeds and lower network latency. Such a modern network will also enable new services that depend on high data throughput, speed, or low latency. As can be seen in the chart below, Austria and Spain are the European countries that lead the deployment of 5G SA. In the chart, the 5G SA sample share is shown, measuring the percentage of all Ookla 5G speed tests run on an independent 5G network core (without relying on 4G infrastructure). This indicates how widely 5G SA is adopted. An interesting observation is also that some other important countries, like the US and China are really moving ahead of Europe. Europe therefore needs to accelerate investment.

Spain and Austria lead Europe in 5G SA deployment



Source: Ookla, ING

5G SA sample share in 4Q25 (%)

Coverage in rural areas needs an upgrade, while networks can be congested

The pressure on returns may also constrain reinvestment capacity over time, helping to explain emerging signs of congestion and choke points in network performance. Apart from challenges with mobile download speeds, the capacity of Spanish mobile networks looks somewhat stretched. According to Ookla, the Spanish mobile market is Europe's most congested mobile market during peak use in the evening. The researchers found a decline in average speed by 66% during peak hours (1Q26). Meanwhile, network latency increases by 60%. This implies that operators have work to do to upgrade capacity.

Another challenge comes from the deployment of 5G mobile networks in rural areas. As the regulator CNMC notes, only 82.2% of rural areas have at least one 5G network, while this holds for 96% of urban municipalities. Consumer choice is also limited in these areas, as there are three 5G networks in only 15.4% of rural municipalities. Further investment in Spain's mobile infrastructure is therefore needed, and this will also be done through the help of public funds. However, we expect private markets to also contribute to these initiatives, especially if the profitability of the overall market were to increase.

Strong networks but weak returns threaten future investment

Spain's telecom sector is a clear infrastructure leader, but it does not combine this with strong economics. Strong fibre and 5G coverage have been achieved at the cost of weaker margins and pricing power, raising questions about the sustainability of future investment. Without a shift in the policy framework to support returns, Spain risks underinvesting in the next phase of network upgrades, from capacity expansion to 5G standalone. Addressing this imbalance will be key to maintaining its leadership position, raising the question of whether greater in-market consolidation could play a role in restoring profitability.

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Article | 27 May 2026 FINANCIAL INSTITUTIONS SUSTAINABILITY

European Taxonomy disclosures 2025: Higher ratios, lower comparability

The increase in the 2025 average Green Asset Ratio does not signal a meaningful shift towards greener assets, but largely reflects methodological changes introduced under the ESG Omnibus, making this year's Taxonomy disclosures difficult to compare

2025 was marked by constant discussions surrounding the future of banks' sustainable disclosure requirements. It culminated in the adoption of the sustainable Omnibus in December 2025. In our publication "ESG Omnibus: Throwing the baby out with the bathwater", we dived into the changes brought by the first Omnibus and the impact on the European banking sector. The updated regulation brings various and significant changes to both the Corporate Sustainability Reporting Directive (CSRD) and European Taxonomy (EUT) reporting.

A central change brought by the Omnibus is the suspension of mandatory European Taxonomy disclosures for banks over a two-year period, covering the financial years 2025 and 2026. Nonetheless, we ran our yearly analysis of European banks' sustainability disclosures. Surprisingly, all banks from our sample of 50 institutions from 13 different jurisdictions decided to fully disclose their European Taxonomy templates despite the pause introduced with the ESG Omnibus. This is the result of other regulatory requirements pushing banks to gather ESG data, and the need to align with standards such as the EU Green Bond Standard.

Additionally, we saw an increase in the average Green Asset Ratio (GAR) standing at 7%, a three percentage point rise compared to the FY2024 results. We also note a nearly 20 percentage point YoY increase in Taxonomy eligibility with the average at 55%. One might hope that this comes from the significant growth in banks' share of green activities, but in reality, it stems from the fast adaptation of the new calculation and methodology brought by the ESG Omnibus.

The updated methodology, among other things, lightens the denominator of the GAR which mathematically lifts results upwards. This not only introduces disparities in banks' FY2025 sustainable reporting but also affects banks' GAR differently. Consequently, this year's Taxonomy disclosures proved nearly impossible to compare. This report dives into banks' FY2025 reporting and explores the impact the Omnibus has on the results.

Disclosures maintained despite two-year suspension

Despite the ESG Omnibus allowing European banks to skip their Taxonomy reporting for both 2025 and 2026, all institutions included in our sample included full sustainability reporting in their annual report. Two points can explain the continued disclosure.

The first is that the two-year disclosure exemption was announced in the second half of 2025, leaving little time for banks to adapt. Considering that all institutions in scope already have the systems and tools in place to report their Taxonomy templates, using the exemption would have only resulted in limited cost reduction. This is compounded by the lack of alignment between the simplification and other regulatory requirements, such as Pillar 3 disclosures.

Secondly, although still few in number, several banks included in our sample have issued or are planning to issue bonds under the EU Green Bond Standard (EuGBS). Read more on this here. Those institutions are therefore required to ensure that their assets are aligned to the European Taxonomy. Consequently, despite the reporting pause, it is still necessary for these banks to disclose under the European Taxonomy.

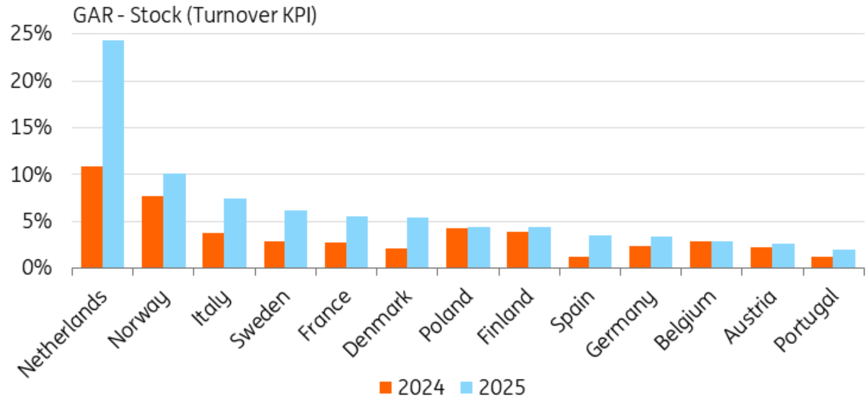
Higher GAR biased by the new methodology

Turning to the results, our sample still underlines variations between the GAR disclosed based on the CapEx KPI which lies, on average, slightly higher than the one using Turnover. On the scale of our sample, the Turnover GAR stands at 7% on average while the CapEx one is at 7.2%. While the difference between the two indicators remains stable, we note a three percentage point increase YoY in the average disclosed GAR. This change is due to most banks' methodology changes, which we will discuss in the next section.

Consistent with the two previous years, the average GAR hides disparities between both banks and countries. Starting with the latter, the Netherlands stood out this year with an average GAR at nearly 25%, up 14 percentage points from last year's disclosures, due to methodology changes. Norwegian institutions remain second with a GAR at 10% on average, up nearly three percentage points YoY. Swedish, Finnish and French banks follow with a GAR above 5% on average.

Although most jurisdictions saw their GAR increase YoY, the most significant change (aside from the Netherlands) is seen in Sweden (up 3.6 percentage points YoY). The graph below highlights the regional differences, with the Netherlands and Nordic countries disclosing the highest GAR and Portugal and Austria at the bottom of the scale.

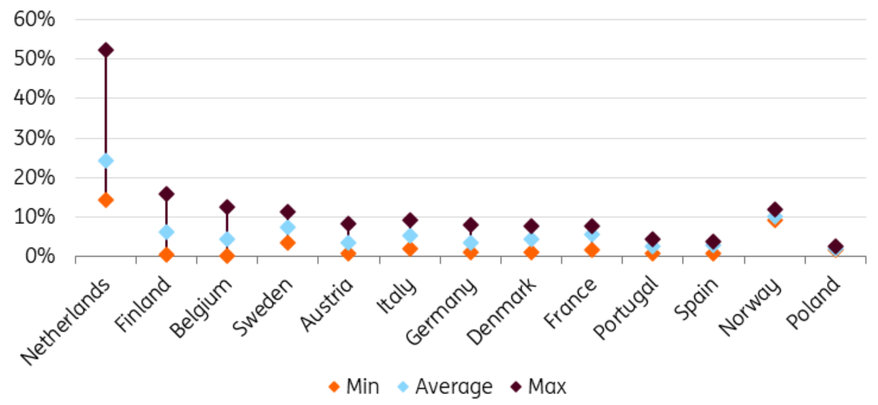
Average national Green Asset Ratio disclosed in 2024 vs. 2025



Source: Banks' disclosure report, ING research

In addition to being an outlier in terms of average Taxonomy alignment, Dutch banks also show the largest difference in results between banks within the country, with a 38 percentage point gap between the highest and lowest disclosed GAR. In both Finland and Belgium, we also note relatively wide variations nationally with a more than 10 percentage points difference. Overall, this year's disclosures saw growing national reporting differences with an average gap of 9% versus only 4% last year. This mainly stems from a jump in some of the banks' reported GAR as they have implemented the new methodology.

Green Asset Ratio variation within jurisdictions



Source: Banks' disclosure report, ING research

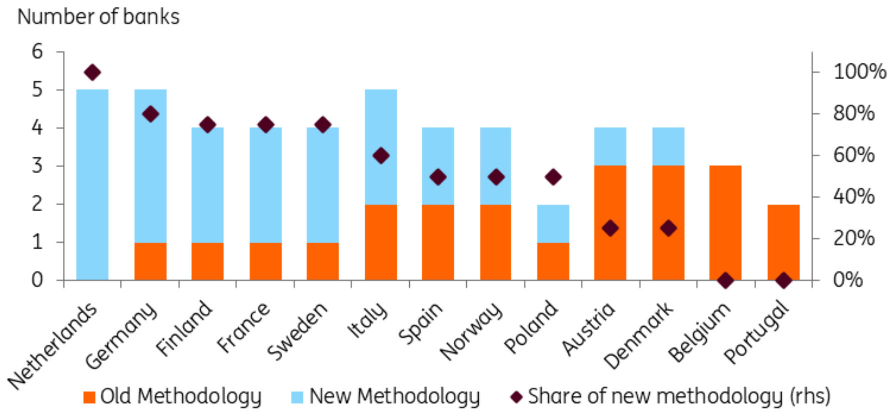
Higher results but comparability is lacking

Despite the increase in the average Green Asset Ratio reported in 2025, which may suggest a shift towards greener assets, this year's Taxonomy disclosures require careful interpretation, as differences in methodology across banks limit comparability.

Indeed, as noted earlier, part of our sample has already adopted the new methodology introduced under Omnibus I. This introduces a materiality threshold, under which activities representing less than 10% of an entity's net turnover or CapEx KPI are exempt from eligibility and alignment assessment. More importantly, the update excludes exposure to entities outside the scope of sustainable reporting from the GAR denominator. This has a significant impact on reported GAR, as it corrects the asymmetry of the calculation that was bringing results down until the full enforcement of the CSRD scope.

From our sample of 50 banks, 56% have already applied the new methodology to their 2025 disclosures. This includes all Dutch banks, explaining the significant increase in their GAR YoY. Three quarters of German, Finnish, French and Swedish banks have also already reported their Taxonomy using the updated methodology. Out of the 28 banks that have changed methodology, only three provided a comparison to the results they would have obtained by using the initial calculation. Only in Belgium and Portugal did all sampled banks continue using the 'old' methodology.

Split of methodologies used for Taxonomy reporting



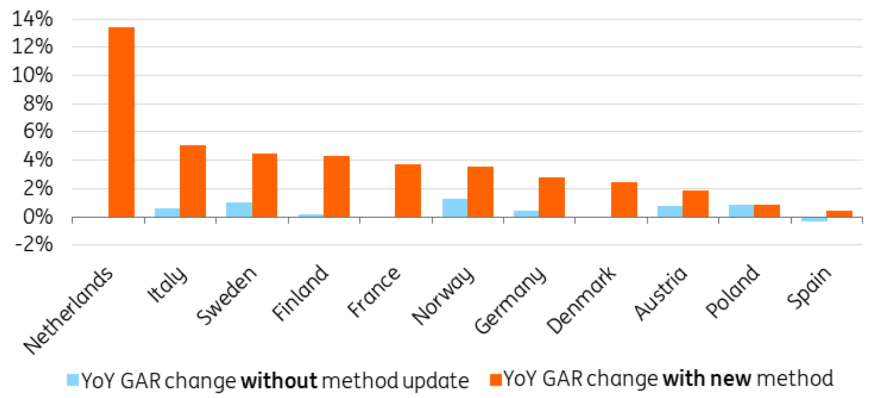
Source: Banks' disclosure report, ING research

On average, switching to the new methodology allows financial institutions to increase their YoY GAR results by nearly four percentage points. Part of that increase could be attributed to an actual change in the composition of the bank's balance sheet. However, when looking at the banks that continued to use the initial Taxonomy methodology, we note that the average GAR increase is only 0.43 percentage points. Therefore, we can conclude that the increase mostly stems from the calculation change.

Dutch banks recorded the largest gain from the Taxonomy update with an average 13 percentage point increase in their GAR YoY. That's about double what other jurisdictions reported. The differential can be explained by Dutch banks' diversified portfolios, comprised of both mortgages and corporate lending. When the latter is composed of smaller entities not yet in scope of the CSRD, their exclusion from the denominator through the new method immediately positively affects the results.

Additionally, as the country's building energy performance scale remains less strict than most of its European counterparts, more buildings are counted as Taxonomy-aligned. The disparity also stems from the regulatory choices for household inclusion. Indeed, using the top 15% most energy-efficient buildings of the national stock and EPC label A, or only one of those criteria, can reflect differently in the results. Therefore, what remains included in the scope of the Taxonomy calculation is, to a greater extent, aligned to the Taxonomy.

Average percentage increase in banks' GAR when using the updated methodology

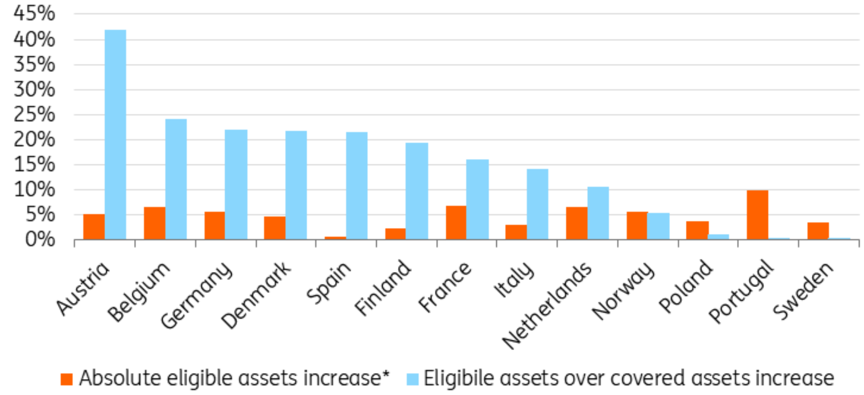


Source: Banks' disclosure report, ING research

Beyond the impact of the methodology changes on the GAR results, we also see implications for the Taxonomy eligibility disclosures. In absolute terms, banks maintained rather stable taxonomy eligible asset levels with an average increase below 5% YoY.

However, when looking at Taxonomy eligible assets in relative terms, over covered assets, we note a 17% increase this year on average. This directly stems from the Omnibus update in which banks are not required to include their exposure to entities outside the CSRD scope. Consequently, when looking at the share of eligible assets over those covered in the regulation, results significantly increased. Therefore, while the eligibility rate was an indicator giving a sense of how green a bank's portfolio could become, the YoY increase can't be interpreted as such but rather as a mathematical correction of the variable. This divergence once again significantly affects the comparability of results.

YoY change in banks' disclosed Taxonomy eligibility in absolute and relative terms

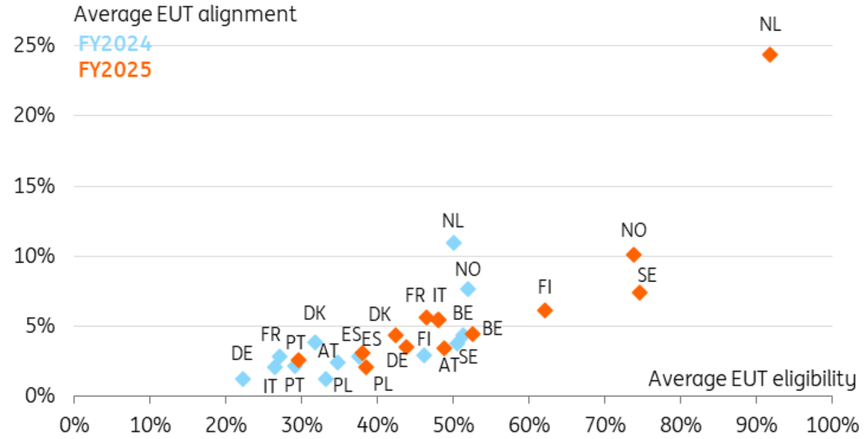


Source: Banks' disclosure report, ING research

*Sample of 40 banks

By plotting the average national eligibility and alignment rate in both 2024 and 2025, the increase in the eligibility rate is clear. Indeed, we note a shift for nearly all countries. That being said, the impact on the alignment ratio varies a lot. Overall, this highlights the changes to this year's Taxonomy disclosures as well as the associated difficulties in comparing results and deriving information on banks' sustainability.

Average national correlation between EUT eligibility and alignment rate



Source: Banks' disclosure report, ING research

AT = Austria, BE = Belgium; DE = Germany; DK = Denmark; ES = Spain; FI = Finland; FR = France; IT = Italy; NL = Netherlands; NO = Norway; PL = Poland; PT = Portugal; SE = Sweden

Simplified disclosures but at what cost?

This year's European Taxonomy disclosures were marked by the 2025 sustainability regulation turmoil. Despite all 50 banks in our sample continuing to disclose despite the two-year exemption, the results are not comparable with those of previous years. Indeed, over half of the banks included in our research applied the new Taxonomy methodology introduced through the sustainability Omnibus. Two consequences are derived from this.

Firstly, the average GAR and eligibility ratio significantly increased compared to the last two years. While in both 2023 and 2024 the average GAR (on Turnover KPI) struggled to reach the 4% mark, the 2025 result lies just above 7%. The same conclusion can be reached when looking at the eligibility ratio, which is at 55% on average for our sample, up from the 36% in 2023 and 37% in 2024. While this could appear as an encouraging signal of European banks' transition towards greener activities, it reflects purely mathematical changes in the calculations, pushing results upwards.

Secondly, the methodology change prevents comparisons between banks as well as results with previous disclosures. As the results obtained with the Omnibus-updated calculation exclude a significant amount of assets and tweak the results upwards, it is now impossible to compare banks' 2025 GAR to the ones derived under the 'old method'.

Beyond the lack of comparability of this year's Taxonomy reporting, the sustainability Omnibus brought a deeper change in the disclosures, reshaping the GAR into an indicator focused on banks' mortgage portfolios by excluding most corporates from the calculation.

Despite the two-year reporting pause, most banks continued to disclose their Taxonomy template to align with other regulatory requirements, leaving them to navigate ongoing legislative uncertainty. At the same time, the reduced scope of ESG disclosures will continue to create data availability and quality challenges, as fewer corporates are required to report while banking requirements are not yet fully aligned with the Omnibus changes.

The main goal of the sustainability Omnibus was to simplify and lighten entities' reporting burden. One might question whether such an ambition was achieved.

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